

Handout 02.15: News Card and Price Change

Name: _____ Date: _____ Partner: _____

The rule in two lines. More buyers than sellers: the price goes up. More sellers than buyers: the price goes down. News changes how many people want to buy or sell.

The four dispatch families (from the Merchant's Handbook): weather moves Meadowgold; exploration news moves Sparkstone and Cloudberry; royal decrees move Crown Seal and Iron Vault; the seasons move Willowbrook. The Honeypot ignores the news.

Part A (Day 1): Match the news to the price change

Eight news cards on the left. Eight price changes on the right, out of order. Write the letter of the price change next to the news card that caused it. Then write the cause and effect sentence for each one using this frame:

“__ happened, so more people wanted to __ (buy / sell) , so the price went (up / down).”

#	News card (the dispatch)	Price change letter
1	Picture cue: a lightning bolt. “Sparkstone crews strike the richest crystal seam in twenty years. Output expected to double by spring.”	_____
2	Picture cue: a storm cloud. “A week of hail flattens the wheat across the eastern farms. Meadowgold reports crop losses on a third of its acres.”	_____
3	Picture cue: a crown. “The Crown announces it will pay Crown Seal Note holders one extra AQ per note this season as thanks for a strong treasury.”	_____
4	Picture cue: a balloon with a tear in it. “Cloudberry’s third expedition returns early with nothing. The	_____

	company has coin for one more voyage, at most.”	
5	Picture cue: a tree with frost on it. “A late frost hits Willowbrook Grove. Growers say the trees survived but this season’s harvest will be small.”	_____
6	Picture cue: an iron door with a crack. “A rumor that the Iron Vault lent too much to a failing shipyard spreads through the market. The Vault says all loans are sound.”	_____
7	Picture cue: a new road. “The Crown opens a new trade road through the western farmlands. Land along the road, most of it Meadowgold’s, is suddenly in demand.”	_____
8	Picture cue: a honey jar. “The Honeypot Coffe announces its rate for the season: the same small, steady amount as always.”	_____
Letter		Price change
A		Meadowgold Acres: down 6 percent
B		Crown Seal Notes: up 1 percent
C		The Honeypot Coffe: no change
D		Sparkstone Mines: up 14 percent
E		The Iron Vault: down 2 percent
F		Willowbrook Grove: down 3 percent
G		Cloudberry Expeditions: down 22 percent
H		Meadowgold Acres: up 8 percent

Cause and effect sentences:

1. _____
2. _____

3. _____
4. _____
5. _____
6. _____
7. _____
8. _____

Two questions:

9. Cards 2 and 7 are both about Meadowgold. One pushed the price down, one pushed it up. What is the difference?

10. Card 6 is a rumor, not a fact, and the Vault says it is false. The price still fell. Why?

Part B (Day 2): Fact or hype?

The three tests. Score each headline: one point for each test it passes.

- **Who says it?** A named source (the venture, the Crown, a reporter) passes. “Insiders,” “everyone,” or no source fails.
- **Is there a number?** A percent, an amount, a date, or a count passes. No number fails.
- **Does it tell you to hurry?** No rush words passes. “Now,” “last chance,” “before it’s too late,” “everyone is buying” fails.

Two or three points: probably a fact. Zero or one: hype.

#	Headline	Who says it? (1 or 0)	A number? (1 or 0)	No hurry? (1 or 0)	Total	Fact or hype?	If it is a fact, what would a careful investor do? (buy / sell / hold / wait for more)
1	“Sparkst one about to						

	EXPLODE. Insiders say get in NOW before everyone else does.”						
2	“Cloudberry Expeditions reports its fourth voyage will launch on the first day of spring with 40 percent less coin than the last one.”						
3	“Meadowgold is a sure thing. Land never goes down. Buy as much as you can.”						
4	“The Crown’s treasury office confirms Crown Seal Notes						

	will pay the usual 2 percent this season."						
5	"Everyone is dumping the Iron Vault. Sell before it's too late."						
6	"Willowbrook Grove's growers' council reports this year's harvest at 15 percent below last year after the frost; trees are healthy."						

11. Pick one headline you labeled hype. Rewrite it as a fact: give it a source and a number and take out the hurry.

12. Headline 5 tells you to sell the Iron Vault. If you sold and the rumor was false, who got your units, and at what kind of price?
